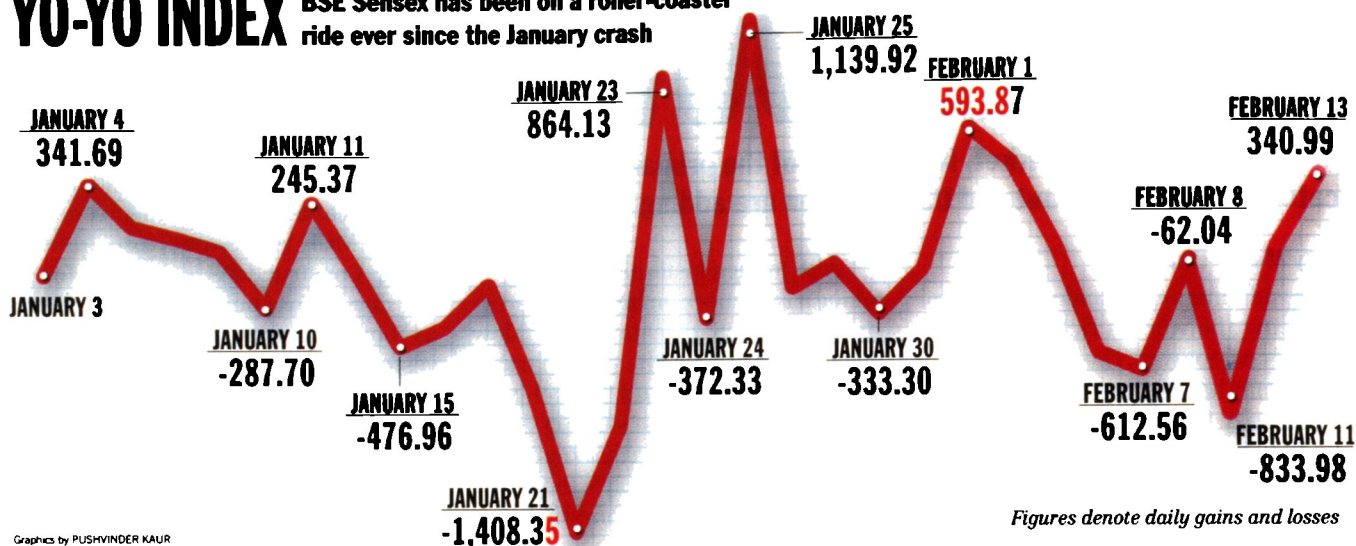


YO-YO INDEX

BSE Sensex has been on a roller-coaster ride ever since the January crash



these companies come back to market with repriced issues. China has seen over nine IPOs fall through in the aftermath of a global meltdown in equities.

Similarly, Wockhardt, too, has blamed the issue's dismal performance on "continued global and domestic market volatility and poor market sentiments". But not all agree with the company. Tech Mahindra, which also came amidst turbulent market conditions, not only found takers but also gave substantial returns to the investors as it was a fairly-priced issue. Says Gaurang Shah, head of research at KR Choksey: "Promoters were very greedy and priced their issues at astronomical levels. Wockhardt, for instance, tried to cash in on its brand equity and sought maximum price for future growth. In its case, profitability would have come only after three years, and this was already discounted in the issue price, therefore leaving little or no upside for the investor."

Market experts believe IPOs are a function of the bull market and what is happening in the primary market is symptomatic of the secondary market. As the markets gain momentum, more and more promoters come to it with fabulous valuations, and once the sentiment turns negative, the issues too go into a tailspin.

Two years ago, Reliance Petroleum had come to market with the ambition of setting up a greenfield refinery in Jamnagar. As with Anil, the Ambani name had helped Mukesh Ambani's company raise large sums for a refinery that was nowhere near completion. Says Harendra Kumar, head of research and advisory at ICICI Direct: "After holding on to the stock for two years, investors will benefit once the refinery is commissioned."

After the January crash, all hopes were pegged on the Reliance Power listing, but even the charismatic Anil failed to perk up spirits of a market which is bogged down by the \$500-billion subprime crisis in the US. If global cues are negative, investors are also reacting similarly to the Reliance Power issue as NTPC already has the ca-

capacity that Reliance Power wants to put up over eight years. And yet it does not come for such a premium, which is why Reliance Power did not do well on the listing day either. "The decline is not specific to Reliance Power, and simply mirrors the sharp melt-down in global capital markets over the past three weeks," says a Reliance Power spokesperson. But punters believe otherwise. Obviously, a tanking secondary market is shifting the goalposts of valuation. Rather than view the issues suspiciously, Ramesh believes investors should take these as developmental projects and be willing to invest on a discounted cashflow basis.

Many companies like Globus Spirits have developed cold feet after the fate of the previous two issues. If investors have to look at investing in the stock markets, their perspective and greed both have to be more realistic when assessing a company's potential and fundamentals. Rajiv Anand, chief investment officer of Standard Chartered Mutual Fund believes that the next wave of IPOs will see a lot more rationality from merchant bankers and promoters. Given that almost all these companies will again tap the market in the near term, once conditions stabilise, investors can look for more realistically priced issues. ■

FLOP SHOW

COMPANY NAME	Offer price (Rs)	Current price* (Rs)
J. Kumar Infraprojects	120	102.30
Reliance Power	450	351.40
Porwal Auto Components	75	31.70
Precision Pipes & Profiles	150	78
Manaksia	160	81.20
Brigade Enterprises	390	255.90
eClerx Services	315	308.25
Kaushalya Infra Dev Corpn	60	45.10
Kolte-Patil Developers	145	128.80
Empee Distilleries	400	167.85

*BSE price on February 13